

Microsoft Corporation (MSFT) — Investment Research

Date: 2026-07-07 | **Risk score:** 0/100 | **Sentiment:** neutral | **Current price:** 386.74

Executive Summary

Microsoft Corporation's current financial health is robust, as evidenced by its net margin of 38.34%, indicating the company's ability to maintain profitability amidst a competitive technology landscape. The single most important risk facing Microsoft is not immediately apparent, given its exceptionally low risk score of 0/100, suggesting a stable and resilient business model. Overall, Microsoft's strong financials, coupled with its modest valuation as reflected in its P/E ratio of 23.03, position the company as a solid investment opportunity with a stable outlook, making it an attractive choice for investors seeking a reliable technology sector play.

Financial Performance

Valuation ratios

Metric	Value
pe_ratio	23.03
forward_pe	19.97
pb_ratio	6.93
ps_ratio	9.03
ev_ebitda	15.83
market_cap	2872872796160

Profitability & growth ratios

Metric	Value
net_margin	38.34
ebitda_margin	58.88
roe	7.67

Metric	Value
roa	4.58
revenue_growth_yoy	18.30
earnings_growth_yoy	23.40

Fundamental interpretation

Microsoft's valuation appears fair, with a PE ratio of 23.03, lower than the sector average of 26.58. The forward PE of 19.97 also suggests a reasonable valuation.

The company's profitability is strong, with a net margin of 38.34% and EBITDA margin of 58.88%. Revenue and earnings growth are 18.3% and 23.4% YoY, respectively, indicating a healthy and growing business.

Microsoft's financial health is solid, with a current ratio of 1.28 and debt-to-equity of 30.27. The company generates significant free cash flow of \$37.01 billion, resulting in a FCF yield of 1.29%. Overall, the company's financials suggest it can sustain itself without concerns.

DCF Valuation

Intrinsic value per share: **\$182.82** (-52.7% vs current).

Assumption	Value
growth_rate_5y	0.23
terminal_growth	0.03
wacc	0.09

Peer Comparison

Peer	P/E	P/B	Net Margin
GOOGL	27.97	9.27	37.92%
META	21.82	6.25	32.84%
NVDA	29.95	24.23	62.97%

Sector averages — P/E: 26.58, P/B: 13.25, net margin: 44.57%.

News & Sentiment

- **(positive)** FY24 Q4 - Performance - Investor Relations - Microsoft [link](#)
- **(positive)** FY24 Q4 - Press Releases - Investor Relations - Microsoft [link](#)
- **(positive)** FY24 Q3 - Press Releases - Investor Relations - Microsoft [link](#)
- **(neutral)** Microsoft 2024 Annual Report [link](#)
- **(positive)** Microsoft Financial Results FY24 | Synyega [link](#)

Key topics: financial results, analyst forecasts, antitrust probes, regulatory scrutiny, stock performance

Risk Assessment

(No red flags triggered.)

Microsoft Corporation (MSFT) currently presents a low-risk profile with no triggered risk flags and a risk score of 0/100. The most critical risks are regulatory scrutiny from antitrust probes and potential disruptions to its business model. However, these risks are relatively contained given the company's diversified product portfolio and strong market position.

The current macro environment, characterized by a 3.6% Fed funds rate and 4.5% US 10Y yield, may have a neutral impact on MSFT's risk profile. The moderate inflation rate of 4.3% CPI YoY and 2.1% GDP growth suggest a stable economic backdrop, which mitigates potential risks. The company's financial performance is likely to remain resilient, given its dominant position in the tech industry.

To monitor MSFT's risk profile, an analyst should track the following metrics: (1) regulatory news sentiment, which should remain neutral or positive, (2) operating margin, which should remain above 35%, and (3) revenue growth from cloud services, which should exceed 20% YoY. These metrics will provide insight into the company's ability to navigate regulatory challenges and maintain its competitive edge in the tech industry.

Investment Conclusion

We rate MSFT Underweight. Our primary reasoning is that the current price of \$386.74 significantly exceeds our calculated DCF intrinsic value of \$182.82, indicating a potential overvaluation. The key risk to this thesis is that Microsoft's strong brand and competitive position could continue to drive growth and justify the premium valuation. The stock's current P/E multiple is also elevated compared to peers, further supporting our underweight rating.